AI meets human-centric processes in service

Sephora and Matas Group, two ways of building AI into a service process

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retailers compared: Sephora and Matas Group

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core service processes analysed end to end

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interviews with store advisors and managers

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process-excellence tools applied to each case

A snippet of the full paper (13 content pages plus appendix), condensed here to its main findings.

The question

Beauty retail sells advice as much as products, which makes it an awkward fit for process improvement tools. This study asks how Sephora and Matas Group put AI into customer service, and what happens to process performance when the same Business Process Excellence toolkit is applied to both.

How it was done

Two processes were followed at each company: in-store consultation and product recommendation, and complex problem resolution and returns. A third, staff training and change management, sits in the appendix. The evidence is seven interviews with advisors and managers, read against annual reports from 2016 to 2025 and industry material. Each process was mapped, customer wishes were turned into measurable quality targets and compared with how the process actually performs, waste and variation were analysed through Lean and Six Sigma, and the root causes were gathered in a single Ishikawa diagram (page 2). With seven interviews, the findings are best read as process insight rather than statistics, and the paper says so itself.

What the two retailers do differently

Sephora moves AI to the front of the journey. Virtual try-on and shade-matching tools make the first recommendation, which removes much of the variation between advisors, and an industry source cited in the paper reports 30% fewer returns. The cost is a bottleneck where hard cases reach a small group of human specialists, plus heavier exposure to data-privacy rules.

Matas keeps the conversation human and puts AI behind it, mainly for stock visibility and customer history, so advisors spend less time in the stockroom. Trust and depth of advice are its strength. The weak spots are uneven advice between advisors and stores, a chatbot that only speaks Danish, and little training on diverse customers.

Neither model wins outright. What decides the outcome is how well AI fits the company's culture, its customers and its digital maturity, and how cleanly work is handed between AI and people.

What the redesign proposes

At Sephora, the try-on shows a confidence score and an advisor steps in only when the score falls below a threshold. At Matas, advisors work from a fixed four-question assessment with a light AI suggestion tool, and the recommendation is written to the CRM. Each comes with four control measures. Sephora tracks shade-match accuracy, consultation time, AI usage across stores and colour-related returns. Matas tracks assessment compliance, training completion, satisfaction spread between stores and rework cases.

Beyond retail

Two issues run through both cases. One is fairness and regulation: bias in shade matching, GDPR consistency, a 2022 California privacy settlement involving Sephora, and EU AI Act transparency. The other is change management, where Sephora follows a planned shift and Matas a gradual one, read through Lewin, Nadler, and Kotter and Schlesinger.

Selected figures

Redrawn from the original paper for legibility. The content is unchanged.

FIGURE 1 *Root causes of variation and inefficiency in AI-human hybrid service workflows (Ishikawa diagram)*

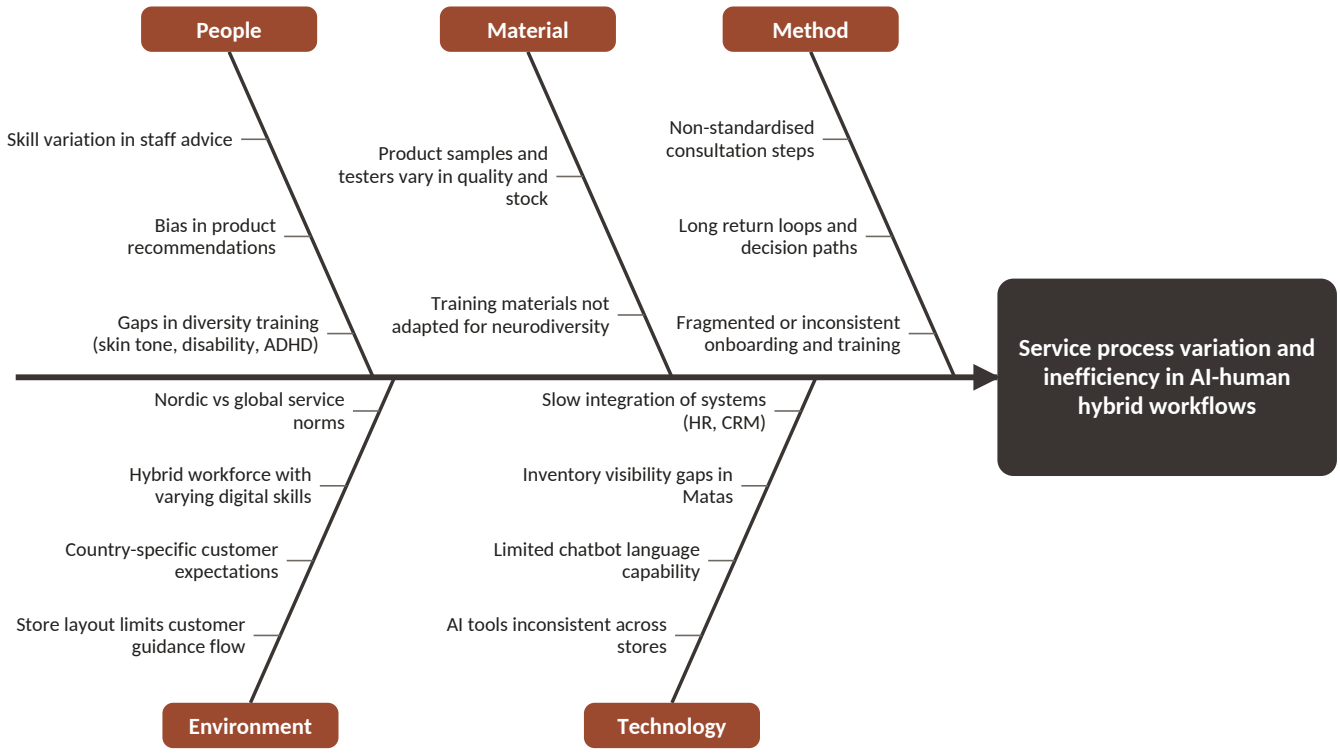
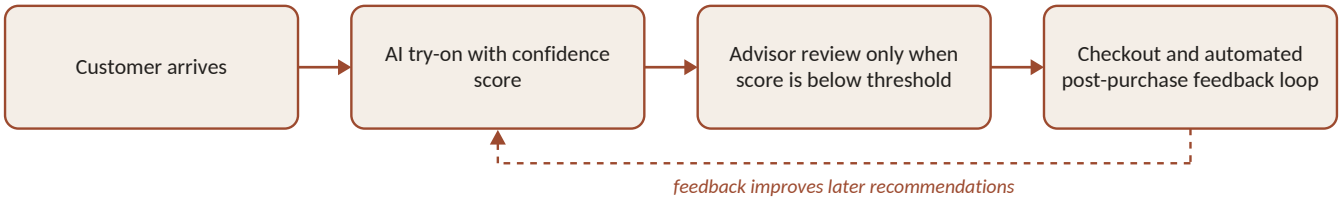
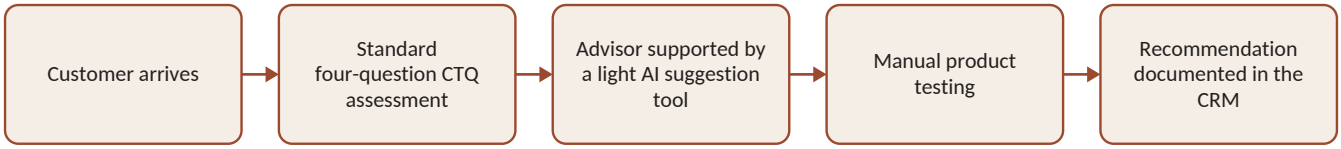


FIGURE 2 *Sephora: redesigned consultation flow*



Expected outcome: less load on staff, better throughput and a steadier cycle time. Ambiguous matches get human refinement, which cuts defects from shade mismatch.

FIGURE 3 *Matas: redesigned consultation flow*



Expected outcome: more predictable consultations, recommendations that line up with stock, and documentation that feeds organisational learning while keeping the human-centred offer.